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Report Name: Canada Strikes Deal with China on Canola Seafood Peas and Beef

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Report Highlights:

On January 16, 2026, Canada announced a deal with China, whereby China would lower tariffs on Canadian canola seed from 84 percent to 15 percent by March 1, 2026. Additionally, China would remove discriminatory tariffs on Canadian canola meal, lobsters, peas, and crabs beginning March 1, 2026, until at least the end of 2026, as well as resume imports of Canadian beef. Canada also announced an ambitious target to increase overall exports to China by 50 percent by 2030.

Canada-China Relationship Beginning to Thaw with Agriculture Deal

Prime Minister Carney visited China between January 14-17, 2026, marking the first such visit by a Canadian Prime Minister since 2017. This is part of Canada's efforts to diversify away from reliance on the United States as a trade partner and soften tensions in the Canada-China relationship - which have been ongoing for multiple years. On January 16, 2026, in a win for his efforts, Carney [announced](#) a new strategic partnership between Canada and China. This will see Canada and China cooperate and collaborate across multiple sectors, including agriculture.

In return for Canada providing an initial country-specific quota of 49,000 units per year for Chinese electric vehicles (reflecting the prevailing import volume before Canada's introduction of a 100 percent tariff on these goods in 2024) at the most-favored-nation tariff rate of 6.1 percent, China is expected to lower or remove tariffs on certain Canadian agricultural products by March 1, 2026, as part of a preliminary [agreement-in-principle](#). Canada also announced an ambitious target to increase exports to China across multiple sectors by 50 percent by 2030.

Under the preliminary agreement-in-principle, China would lower tariffs on Canadian canola seed from the current combined level of 84 percent to 15 percent by March 1, 2026. It is also expected that China will remove discriminatory tariffs on Canadian canola meal, lobsters, peas, and crabs beginning March 1, 2026, until at least the end of 2026.

On March 20, 2025, China placed 100 percent additional tariffs on certain Canadian canola oil, canola meal, and peas. An additional 25 percent tariff was placed on several fish and seafood products, as well as certain pork products. It is notable that the agreement in principle makes no mention of tariff relief for canola oil, pork, or the fish products that were affected by tariffs. It does however have an "expectation" that China will resume imports of Canadian beef, pet food, animal genetics, and other products.

Canola and Peas

The agreement reached between Canada and China for tariff reduction on canola seed and removal on canola meal is positive news for Canada's canola sector. It may see exports resume to 2023 levels - when Canada exported 65 percent of its canola seed volume, 34 percent of canola meal, and 3.7 percent of canola oil, to China, with a combined value of USD 3.7 billion.

Trade data shows there were stable canola exports to China from 2014 to 2018, but a sharp decline starting in 2019, which persisted until 2023. After some relief, exports dropped again in 2025.

Comparing January to October trade data from 2024 and 2025, Canada's canola complex (seed, oil, and meal) fell by 60 percent in value.

Canada's canola sector has had a tumultuous relationship with China, dating back to 2019. In March 2019, China delisted the export licenses of two of Canada's largest canola exporters, relisting them in May 2022. In March 2020, China lowered the dockage limits on canola seed imports from 2.5 to 1 percent, citing sanitary and phytosanitary (SPS) concerns. This increased the processing cost for Canadian canola seed shippers and limited the ability of other countries to export canola to China. Then, in September 2024, China announced anti-dumping and industry injury investigations into imports of Canadian canola. In March 2024, China announced a 100 percent tariff rate on Canadian canola oil and meal (along with other commodities), effective immediately. In August 2025, it announced preliminary tariffs of 75.8 percent on canola seed.

Canada's annual yellow pea exports to China averaged 1.9 million metric tons (MMT), valued at just over USD 620 million, in the five years leading up to 2024. Exports in 2024 dropped to about 0.5 MMT, valued at USD 225 million, due to lower feed demand and China sourcing more peas from Russia and other countries. Canadian exports plummeted further in 2025 due to a 100 percent Chinese tariff imposed in March 2025. Comparing January to October trade data from the five-year average (2019-2023) and 2025, Canada's yellow pea exports to China fell 68 percent in value to just over USD 170 million. The recent tariff removal aims to restore trade, with some experts expecting immediate resumption to typical monthly volumes. Industry representatives expect exports to increase more slowly.

Seafood

China is the second-largest export market for Canadian seafood, second only to the United States. However, since China imposed an additional 25 percent tariff on Canadian seafood in March 2025, Canada's share of the Chinese market has declined significantly. For the period January-October 2025, Canadian exports of seafood to China totaled just over USD 545 million, down more than 32 percent from the same period in 2024. The Canadian industry expects the removal of the 25 percent tariff will restore exports back to pre-2025 levels.

Red Meats, Pet Food, and Animal Genetics

While several pork products were included in China's 25 percent retaliatory tariffs levied in March 2025, pork is noticeably absent from the January 2026 Canada-China announcement. While Canadian pork exports to China peaked at over USD 1 billion in 2020, that trade was driven by the decimation of the Chinese swine herd due to African Swine Fever (ASF). Canadian pork exports to China have dropped significantly in the ensuing years. In 2024, Canada's pork exports to China were valued at USD 173 million. Comparing January to October trade data from 2024 and 2025, Canada's pork exports to China were down over 57 percent by value. The market does remain an important outlet for products such as snouts and feet that have little value elsewhere, and Canadian producers will look to eventually see market access restored on a duty-free basis.

China temporarily revoked market access for Canadian beef in December 2021, following detection of an atypical bovine spongiform encephalopathy (BSE) case in a Canadian cow. Despite repeated attempts to negotiate a re-opening with China, the market has remained closed; the BSE closure followed several other market disruptions from the Chinese citing a variety of SPS issues. In 2021, Canadian beef exports to China totaled nearly USD 155 million. Canadian producers are eager to regain access to the market, and according to this [media article](#) the ban has already been lifted. While the export opportunity is welcome, it is unlikely Canada will ship large volumes of beef to China in the near future, given the tight supply.

Chinese market access for Canadian pet food was adversely affected by the 2022 avian influenza outbreaks, when China effectively banned all Canadian products containing poultry, including pet food products. Growth in the Chinese pet food market makes China an attractive export market should market access be regained. In 2021, Canada exported USD 182 million in pet food products to China, trade that had dropped to USD 10.5 million by 2024.

While Canada has approval to export porcine and bovine semen, and bovine embryos to China, major genetics companies have faced license renewal issues that have affected exports. In 2019, citing

administrative issues, China suspended the export licenses for two major Canadian companies exporting bovine semen. The Canadian genetics industry has highlighted market access issues with China as being tenuous and slow to resolve when they arise. China is seen as presenting significant opportunity for both porcine and bovine genetics exports as they rebuild and restructure domestic herds and gene pools. Canada has not recorded any bovine semen exports to China since 2019; in 2018, bovine semen exports to China were valued at USD 8.6 million.

Provincial and Industry Reactions

The Premier of Saskatchewan, who was also on Carney's visit, has spoken out [favorably](#) on the agreement, while the Premier of Ontario has spoken out [against](#) it over fears of impacts on Ontario's automotive sector.

The Canadian Federation of Agriculture (CFA) [welcomed](#) the increased dialogue and newly announced progress between Canada and China on agricultural trade, commenting that "the proposed elimination of tariffs across several key agricultural products, coupled with the significant reduction in tariffs on Canola seed, will provide immediate relief and contribute to restoring competitiveness for producers exporting to one of Canada's most significant agricultural markets."

The Canola Council of Canada (CCC) and Canadian Canola Growers Association (CCGA) also [welcomed](#) the Canada-China deal on tariff relief for Canadian canola seed and meal, commenting "we are pleased to see significant progress in restoring market access for seed and meal and will continue to build on this development by working to achieve permanent and complete tariff relief, including for canola oil, moving forward."

The Fisheries Council of Canada (FCC) also [welcomed](#) the Canada-China announcement on crabs and lobster not being subject "to relevant anti-discrimination tariffs" from March 1, 2026 to the end of the year, however they cautioned that "further clarity is needed on whether additional seafood species are also included", and that "the Government of Canada must work to ensure that all Canadian seafood returns to a tariff-free environment with China."

The Canadian Cattle Association (CCA) [welcomed](#) as well the news that Canadian beef access to China "has been restored after being wrongfully shut out in 2021", noting the industry "will continue to work with government officials and industry stakeholders to learn more details, including potential safeguard measures."

Pulse Canada [welcomed](#) the announcement that China will remove the 100 percent tariff on Canadian peas beginning March 1, 2026, noting that this "will restore access to one of Canada's most important pulse export markets" after "China's tariff, imposed in March 2025, effectively shut Canadian peas out of the market despite strong demand and Canada's reputation as a reliable supplier of high-quality product."

Canada and China Create Economic and Trade Cooperation Roadmap

As part of the newly announced strategic partnership between Canada and China, Prime Minister Carney's office released an [Economic and Trade Cooperation Roadmap](#) on January 16, 2026 as grounds for a stronger Canada-China partnership. Global Affairs Canada and the Ministry of Commerce of the People's Republic of China will jointly lead a revitalized Joint Economic and Trade Commission

(JETC). There will also be an Economic Working Group Partnership meeting held in-person in Canada in Summer or Fall 2026. As part of bilateral economic and trade relationships, both sides will welcome multi-sectoral investments from the other partner, including in agriculture. As part of the cooperation on agriculture, the Canada-China Joint Agriculture Committee will be revitalized and a Memorandum of Understanding (MOU) between the Canadian Food Inspection Agency and the General Administration of Customs of the People's Republic of China Regarding Food Safety and Animal and Plant Health Cooperation was signed. This MOU will also help to advance resolution of market access issues, provide for technical cooperation, and cooperation on zoning agreements.

Attachments:

No Attachments.